

AI capex is picking up steam

No signs of slowing down

AI capex is and should continue to be a tailwind for growth. Hyperscalers' capex estimates continue to get revised higher and should rise again in 2027. The investment boom is generating positive second-order effects across the economy, i) through wealth effects, and ii) by boosting manufacturing production and employment in AI-related industries and data-center construction. These factors reinforce the resilience of the US economy even in the face of potentially higher-for-longer interest rates.

The week ahead: FOMC minutes, IP, housing data

The Jul FOMC minutes (Wed, preview below) are the highlight of next week's economic calendar. We also get Jul industrial production (Tue) and a lot of housing data: the Aug NAHB Index (Mon), and Jul housing starts, building permits and pending home sales (Tue). Other releases include Aug Empire Manufacturing (Mon), Jul import and export prices (which could marginally impact our PCE inflation estimates, Tue), and the Aug Philly Fed Index (Thu). There is no Fed speak on the calendar at the time of this writing.

July FOMC minutes: how many hawks? Sep hike threshold?

The July FOMC minutes will be stale because the soft July jobs and inflation data since the Fed meeting have considerably reduced market pricing of hikes. Still, we will be looking to get a sense of how many FOMC participants (besides the three dissenters) wanted a hike or would at least have been willing to go along with one. We're also curious about the committee's thresholds for a September move, though we wouldn't expect anything too specific on this front.

Data review: soft Jul data give the Fed breathing room

Based on this week's CPI and PPI data, we project a 0.22% increase in the core PCE in July. This isn't a great number at first blush – it annualizes to 2.7% – but roughly half of it was due to a spike in portfolio management, which should get revised lower in the Sep 30 methodology update. With payrolls also declining in July, markets have substantially priced out Fed hikes. For now, we are sticking with our call for 75bp of rate increases this year, starting in Sep. But risks have clearly shifted toward later/fewer hikes.

The US Economic Weekly will be on summer vacation until the end of August. The next report will be released on September 4.

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Glossary

CPI: Consumer Price Index

PMI: Purchasing Managers' Index

PPI: Producer Price Index

NFP: Nonfarm payrolls

LFPFR: Labor force participation rate

PCE: Personal Consumption Expenditures

FOMC: Federal Open Market Committee

GDP: Gross Domestic Product

SF: Seasonal Factor

SA: Seasonally Adjusted

SEP: Summary of Economic Projections

MA: Moving Average

HH: Household

U-rate: Unemployment Rate

JOLTS: Job Openings and Labor Turnover Survey

Gov't: Government

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- The investment boom is generating positive second-order effects across the economy, i) through wealth effects, and ii) by boosting manufacturing production and employment in AI-related industries and data-center construction.
- These factors reinforce the resilience of the US economy even in the face of potentially higher-for-longer interest rates.

AI capex shows no signs of slowing down

We are now in the fifth week of earnings season and have received updates from the major AI hyperscalers: Microsoft, Amazon, Google, Meta, and Oracle. Savita Subramanian and our equity strategy team note that the latest earnings releases confirm that the capex cycle remains firmly on track and, if anything, appears to be accelerating.

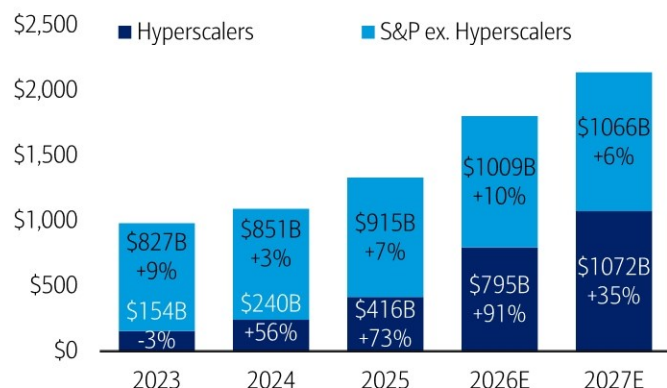
Consensus estimates imply that aggregate capex among these firms will rise by 91% this year, followed by a further 35% increase next year.

Focusing only on the hyperscalers also understates the breadth of the capex cycle, as firms across the economy are investing heavily in AI infrastructure and capabilities to keep pace with their competitors (Exhibit 1). In short, this investment cycle has an should continue to be a substantial tailwind to economic growth.

Indeed, the growth impulse from the AI buildout is tracking above our initial estimate of a 0.4pp contribution this year (See report: [Global Economic Viewpoint: AI Matters #1: The tip of the AI-ceberg? 19 March 2026](#)). We estimate that AI-related investment contributed an average of about 0.6pp to annualized growth in the first half of the year, equivalent to roughly one-third of overall 1H GDP growth (Exhibit 2). That is a substantial contribution, particularly given that the relevant investment categories account for only around 2.6% of nominal GDP.

Exhibit 1: Hyperscalers' capex is expected to grow >90% YoY, an acceleration from 73% in 2025

S&P 500 and hyperscalers (MSFT, AMZN, GOOGL, META, ORCL) actual and consensus capex (\$bn)



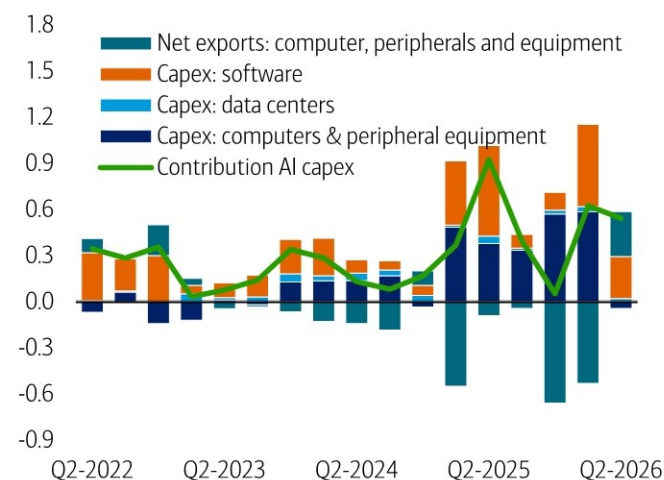
Source: BofA US Equity & Quant Strategy, FactSet

*excludes capital leases for comparability across the index

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Exhibit 2: After adjusting for imports, AI capex has contributed about 60bp to 1H 26 growth or around 1/3rd of total growth

Contribution to growth from AI related capex



Source: BEA, BofA Global Research

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With hyperscaler capex plans pointing to another 35% increase next year, AI-related investment should remain an important growth impulse in 2027. The firms leading the cycle are generating strong cash flow, have healthy balance sheets, and face powerful strategic incentives to invest today rather than risk falling behind their peers. That should make the investment relatively insensitive to higher rates.

The second-order effects are increasingly positive

The AI investment cycle is also generating positive second-order effects across the economy. These include wealth creation that has supported consumer spending, increased manufacturing production, and job creation in both manufacturing and construction. At the same time, there are still few clear signs of broad-based job destruction in the sectors most exposed to AI.

Wealth effects are supporting consumption

Household spending has benefited from a positive AI-related wealth effect, reflecting the important role that AI-linked companies have played in equity-market gains in recent years. Our equity strategy team estimates that earnings per share for AI stocks increased by 28% in 1H 2026, compared with 12% for non-AI stocks in the S&P 500.

These gains have contributed to the K-shaped pattern in consumer spending. Although the two arms of the K now appear to be converging, helped in part by an improvement in hiring (See report: [BofA on USA: July retail sales: Primed for payback 11 August 2026](#)), AI should continue to generate a positive wealth effect over the near to medium term, based on our equity team's estimates for EPS growth through year-end.

AI investment is lifting manufacturing production

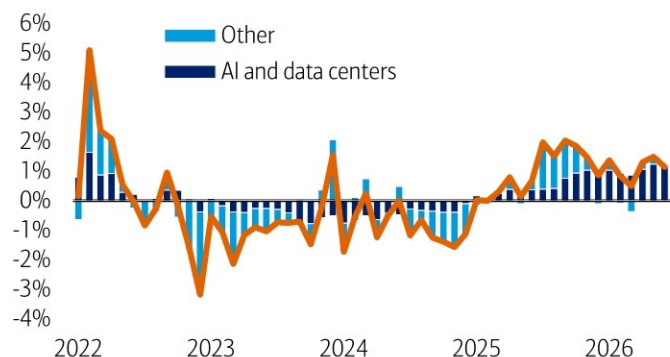
AI-related investment also appears to be driving the recovery in manufacturing. Manufacturing production began to increase on a sustained basis early last year and, as of June, was up 1.1% year over year. By our estimates, nearly all of that increase reflects growth in AI-related industries: fabricated metal products, machinery, computer and electronic products, and electrical equipment, appliances, and components (Exhibit 3).

The improvement in manufacturing production is also translating into employment gains. These AI-related industries have added 23,000 jobs year to date after shedding a combined 120,000 jobs in 2024 and 2025.

Construction employment is likely benefiting from the AI buildout as well. Nonresidential construction employment has increased by 75,000 jobs year to date and by 600,000

Exhibit 3: Growth in manufacturing production has been driven by AI related industries

Contribution to manufacturing production growth



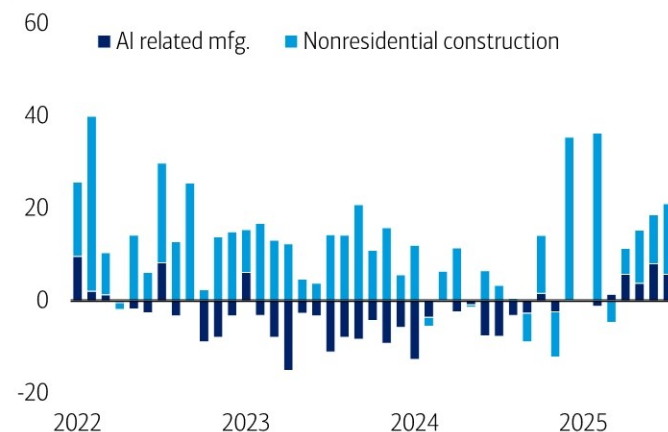
Source: Federal Reserve Board, BofA Global Research

Note: We include the following industries in our AI and data center grouping: Fabricated Metal Products, Machinery, Computer and Electronic Products, Electrical Equipment, Appliances, and Components

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Exhibit 4: The investment boom is also translating to better job growth in manufacturing and construction sectors

Payroll employment (m/m ch. thous, SA)



Source: BLS, BofA Global Research

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since January 2022 (Exhibit 4). We think much of the recent increase is attributable to data-center construction, as non-residential construction activity excluding data centers began to decline on a year-over-year basis in early 2025.

There is little evidence of broad AI-related job destruction so far

There are also limited signs that AI is currently driving broad-based job destruction, although it may already be weighing on employment growth in some industries and on entry-level hiring in particular (see [US Watch: AI dashboard: Job apocalypse? Not so fast](#)).

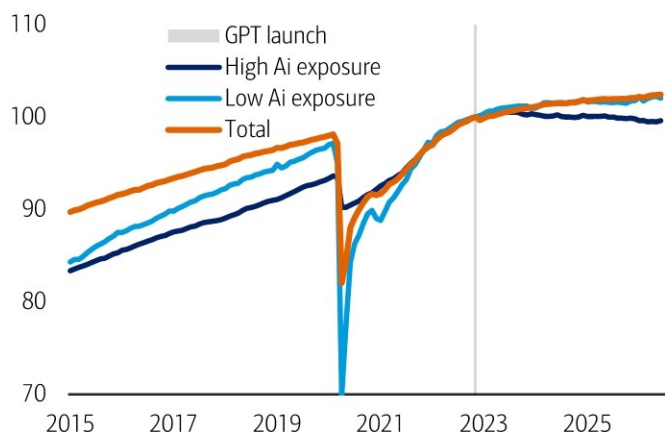
Employment in the industries with the highest exposure to AI has been roughly unchanged since 2022 (Exhibit 5). That picture may evolve as adoption broadens and firms reorganize production around the technology. For now, however, AI appears to be a net positive for near-term employment growth through the investment channel.

Bottom line: AI should remain an engine of growth

The upshot is that AI capex and its second-order effects should remain key engines of US economic growth over the coming years. This is one important reason why we do not think additional Fed rate hikes would materially slow growth at present. The AI investment cycle is still in its boom phase, supported by rapid capex growth, strong corporate cash flows, healthy balance sheets, and intense competitive pressure.

Historical experience suggests that an investment boom of this scale will eventually be followed by a correction (Exhibit 6). However, current capex plans indicate that such a downturn is unlikely in the near term. For now, the more immediate macro implication is that the AI buildout is increasing productive capacity, supporting activity and employment, and making the US economy less sensitive to restrictive monetary policy than it otherwise would be.

Exhibit 5: Industries with the highest AI exposure levels have seen hiring largely move sideways since Chat GPT 3.5 launched in Nov 2022
Employment levels (Nov 2022 = 100)

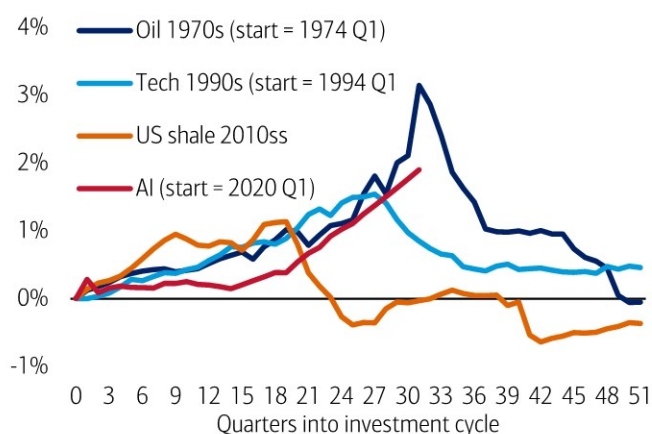


Source: Federal Reserve Bank of Dallas, Bureau of Labor Statistics and "Occupational, industry, and geographic exposure to artificial intelligence: A novel dataset and its potential uses," by Edward W. Felten, Manav Raj and Robert Seamans, Strategic Management Journal, 2021

Note: High AI exposure are 4-digit NAICS industries that have an AI exposure index above the 90th percentile, Low AI exposure are 4-digit NAICS industries that have an AI exposure index below the 10th percentile

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Exhibit 6: AI investment continues to climb rapidly and history would suggest we will see a correction at some point
Investment cycles – Capex by sector (% of GDP, change from initial quarter)



Source: BEA, BofA Global Research

Note: We use the following line items from the national account data to define each investment cycle: (1) 1970s oil: mining shafts & wells, mining & oilfield machinery, petroleum & natural gas wells. (2) Tech 1990s: communication equipment, computers & peripheral equipment, communication facilities and software. (3) 1990s oil: mining shafts & wells, mining & oilfield machinery, petroleum & natural gas wells. (4) AI: Computers & peripheral equipment, software, data centers

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US GDP tracking

2Q GDP tracking down to 1.2% q/q saar

Since our last weekly, our 2Q GDP tracking estimate is down 0.2pp to 1.2% q/q saar. The drop was driven by a decline in inventory accumulation and slightly weaker gov't spend.

Next week, we will initialize our 3Q tracking estimate following the July retail sales report. Our official estimate for 3Q GDP stands at 2.5% q/q saar. Tracking for 2Q and 3Q will also be affected by the employment report and inflation data.

Exhibit 1: We are tracking 1.2% q/q saar for 2Q GDP, down 0.3pp from the advance release

BoFA US GDP tracking estimate (% q/q saar)

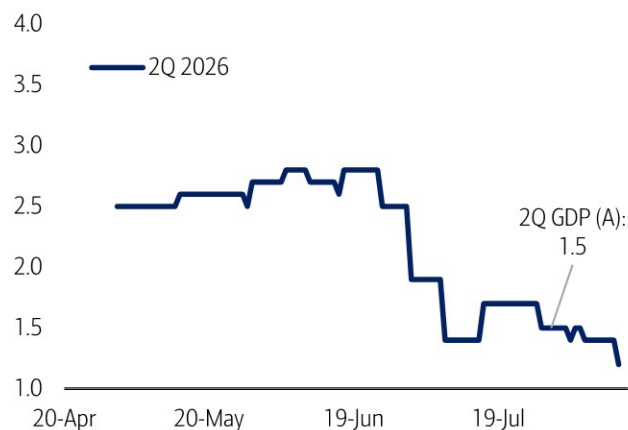
Date	Data release	GDP	Final Sales	PCE	Res. Inv.	Struct	Equip	IPP	Gov.	Exports	Imports	Net exports (level)	CIPI (level)
7/30/26	2Q GDP (A)	1.5	3.1	3.2	1.5	-5.0	15.2	8.8	-0.8	4.5	11.5	-1074.7	-50.8
8/3/26	Construction Spending	1.4	3.1	3.2	0.8	-6.0	15.2	8.8	-0.8	4.5	11.5	-1074.7	-50.8
8/4/26	Factory Orders, Auto, Trade balance	1.5	3.2	3.2	0.8	-6.0	15.2	8.8	-0.8	4.5	11.5	-1074.7	-50.5
8/6/26	Wholesale inventories	1.4	3.2	3.2	0.8	-6.0	15.2	8.8	-0.8	4.5	11.5	-1074.7	-53.8
8/7/26	Employment report	1.4	3.1	3.2	0.4	-6.0	15.2	8.8	-1.2	4.5	11.5	-1074.7	-53.8
8/8/26	Existing Home Sales	1.4	3.1	3.2	0.6	-6.0	15.2	8.8	-1.2	4.5	11.5	-1074.7	-53.8
8/13/26	PPI, Federal budget	1.2	3.1	3.2	0.6	-5.9	15.2	8.8	-1.3	4.5	11.5	-1074.7	-60.0
	GDP tracking	1.2	3.1	3.2	0.6	-5.9	15.2	8.8	-1.3	4.5	11.5	-1074.7	-60.0
	Contribution to GDP growth (pp)			2.2	0.0	-0.2	0.8	0.5	-0.2			-1.0	-0.9
	BoFA official GDP forecast	1.5	3.1	3.2	1.5	-5.0	15.2	8.8	-0.8	4.5	11.5	-1074.7	-50.8

Source: BoFA Global Research. Our GDP tracking estimate reflects the mechanical aggregation of incoming data that directly informs the BEA's GDP calculations. The process is distinct from our official published GDP forecast. Boldface cells indicate where data have implications for tracking estimates

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Exhibit 8: At 1.2% q/q saar, our 2Q GDP tracking estimate is down 0.3pp from the advance estimate

GDP tracking estimate (% q/q saar)

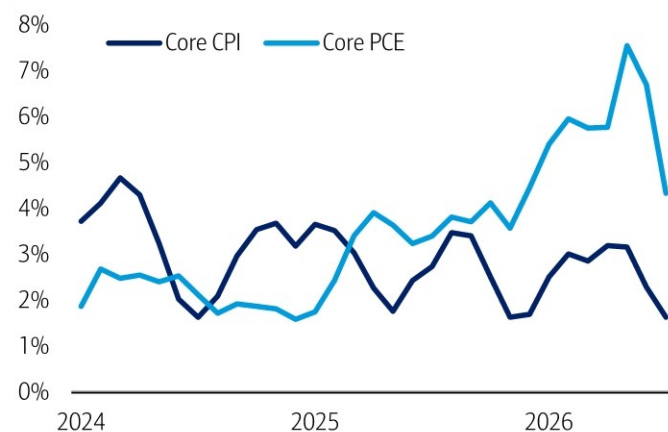


Source: BoFA Global Research

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Exhibit 9: Core CPI and core PCE have both cooled in recent months

Core inflation measures (3m % ch. annualized)



Source: BLS

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Data in the past week

Exhibit 6: This week the focus was on CPI and retail sales

Data in the past week

Date	Time	Indicator	Period	Actual	Consensus	Previous
8/11/26	6:00	NFIB Small Business Optimism	Jul	99.8	97.5	97.4
8/11/26	8:15	ADP NER Pulse (4-wk moving. Avg. ch.)	—	--	—	—
8/11/26	10:00	Existing Home Sales	Jul	4.06m	4.05m	4.13m
8/12/26	8:30	CPI YoY	Jul	3.4%	3.4%	3.5%
8/12/26	8:30	Core CPI YoY	Jul	2.5%	2.5%	2.6%
8/12/26	8:30	CPI MoM	Jul	0.1%	0.1%	-0.4%
8/12/26	8:30	Core CPI MoM	Jul	0.2%	0.2%	0.0%
8/12/26	14:00	Monthly Budget Statement	Jul	-\$432.3b	-\$346.0b	-\$291.1b
8/13/26	8:30	Initial Jobless Claims	8/8/26	209k	202k	200k
8/13/26	8:30	PPI Final Demand MoM	Jul	0.0%	0.2%	-0.1%
8/13/26	8:30	PPI Ex Food and Energy MoM	Jul	0.2%	0.3%	0.4%
8/13/26	8:30	PPI Ex Food, Energy, Trade MoM	Jul	0.4%	0.3%	0.1%
8/14/26	8:30	Advance Retail Sales	Jul	NR	0.1%	0.2%
8/14/26	8:30	Retail Sales Less Autos	Jul	NR	0.2%	-0.2%
8/14/26	8:30	Retail Sales Less Autos and Gas	Jul	NR	0.3%	0.4%
8/14/26	8:30	Core Control	Jul	NR	0.3%	0.5%
8/14/26	10:00	U. of Mich. Sentiment	Aug P	NR	54.9	55.2
8/14/26	10:00	Business Inventories	Jun	NR	0.1%	0.3%

Source: Bloomberg, BofA Global Research

Note: NR = Not Released.

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Data in the weeks ahead

Exhibit 11: Next week the focus will be on the FOMC minutes and Industrial production

Data in the next three weeks

Date	Time	Indicator	Period	BofA		Previous
				Estimate	Consensus	
Week of 8/17-8/21						
8/17/26	8:30	Empire Manufacturing	Aug	12.0	9.6	15.6
8/17/26	10:00	NAHB Housing Market Index	Aug	33.0	33.0	34.0
8/18/26	8:30	Import Price Index MoM	Jul	0.0%	--	0.3%
8/18/26	8:30	Import Price Index ex Petroleum MoM	Jul	0.2%	--	0.5%
8/18/26	8:30	Housing Starts	Jul	1375k	1348k	1427k
8/18/26	8:30	Building Permits	Jul P	1350k	1367k	1374k
8/18/26	9:15	Industrial Production MoM	Jul	0.3%	0.2%	0.1%
8/18/26	9:15	Manufacturing Production MoM	Jul	0.1%	0.2%	0.0%
8/18/26	9:15	Capacity Utilization	Jul	76.3%	76.2%	76.1%
8/18/26	10:00	Pending Home Sales MoM	Jul	0.5%	0.5%	-5.4%
8/19/26	14:00	FOMC Meeting Minutes	7/29/26	--	--	--
8/20/26	8:30	Philadelphia Fed Business Outlook	Aug	20.0	25.0	41.4
8/20/26	8:30	Initial Jobless Claims	8/15/26	215k	--	--
8/21/26	9:45	S&P Global US Manufacturing PMI	Aug P	54.5	--	53.9
8/21/26	9:45	S&P Global US Services PMI	Aug P	54.0	--	54.6
Week of 8/24-8/28						
8/25/26	9:00	S&P Cotality CS US HPI YoY NSA	Jun	1.3%	--	1.11%
8/25/26	10:00	New Home Sales	Jul	630k	--	628k
8/25/26	10:00	Conf. Board Consumer Confidence	Aug	90	--	90.8
8/26/26	8:30	Personal Income	Jul	0.2%	--	0.2%
8/26/26	8:30	Personal Spending	Jul	--	--	0.3%
8/26/26	8:30	Real Personal Spending	Jul	--	--	0.4%
8/26/26	8:30	PCE Price Index MoM	Jul	0.1%	--	-0.1%
8/26/26	8:30	PCE Price Index YoY	Jul	3.6%	--	3.7%
8/26/26	8:30	Core PCE Price Index MoM	Jul	0.2%	--	0.1%
8/26/26	8:30	Core PCE Price Index YoY	Jul	3.3%	--	3.3%
8/26/26	8:30	Durable Goods Orders	Jul P	0.5%	--	0.5%
8/26/26	8:30	Durables Ex Transportation	Jul P	0.0%	--	0.7%
8/26/26	8:30	Cap Goods Orders Nondef Ex Air	Jul P	-0.2%	--	1.2%
8/26/26	8:30	Cap Goods Ship Nondef Ex Air	Jul P	1.0%	--	2.0%
8/26/26	8:30	GDP Annualized QoQ	2Q S	1.2%	--	1.5%
8/26/26	8:30	Personal Consumption	2Q S	3.2%	--	3.2%
8/26/26	8:30	GDP Price Index	2Q S	6.2%	--	6.2%
8/26/26	8:30	Core PCE Price Index QoQ	2Q S	3.4%	--	3.4%
8/27/26	8:30	Advance Goods Trade Balance	Jul	-\$95.0b	--	-\$101.4b
8/27/26	8:30	Initial Jobless Claims	8/22/26	215k	--	--
8/28/26	10:00	Prelim. Benchmark Payrolls Revision	2026	--	--	-911k
8/28/26	10:00	U. of Mich. Sentiment	Aug F	57.0	--	--
Week of 8/31-9/4						
9/1/26	10:00	ISM Manufacturing	Aug	54.5	--	55.6
9/1/26	10:00	Construction Spending MoM	Jul	-0.1%	--	-0.10%
9/1/26	-	Omdia Total Vehicle Sales	Aug	--	--	16.33m
9/2/26	8:15	ADP Employment Change	Aug	--	--	44k
9/3/26	8:30	Trade Balance	Jul	-\$68.0b	--	-\$73.3b
9/3/26	8:30	Nonfarm Productivity	2Q F	1.2%	--	1.40%
9/3/26	8:30	Unit Labor Costs	2Q F	1.5%	--	1.30%
9/3/26	8:30	Initial Jobless Claims	8/29/26	215k	--	--
9/3/26	10:00	ISM Services Index	Aug	54.0	--	54.1
9/4/26	8:30	Change in Nonfarm Payrolls	Aug	--	--	-23k
9/4/26	8:30	Two-Month Payroll Net Revision	Aug	--	--	-103k
9/4/26	8:30	Unemployment Rate	Aug	--	--	4.10%

Source: Bloomberg, BofA Global Research

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Federal Reserve Speakers

Exhibit 12: We get the FOMC Meeting Minutes from the July meeting next week

Upcoming Fed speakers

Date	Time	Speaker
19-Aug	14:00	FOMC Meeting Minutes

Source: Bloomberg

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Exhibit 9: Below is a summary of key quotes from Fed speakers in recent weeks

Summary of Fed speak in the previous weeks

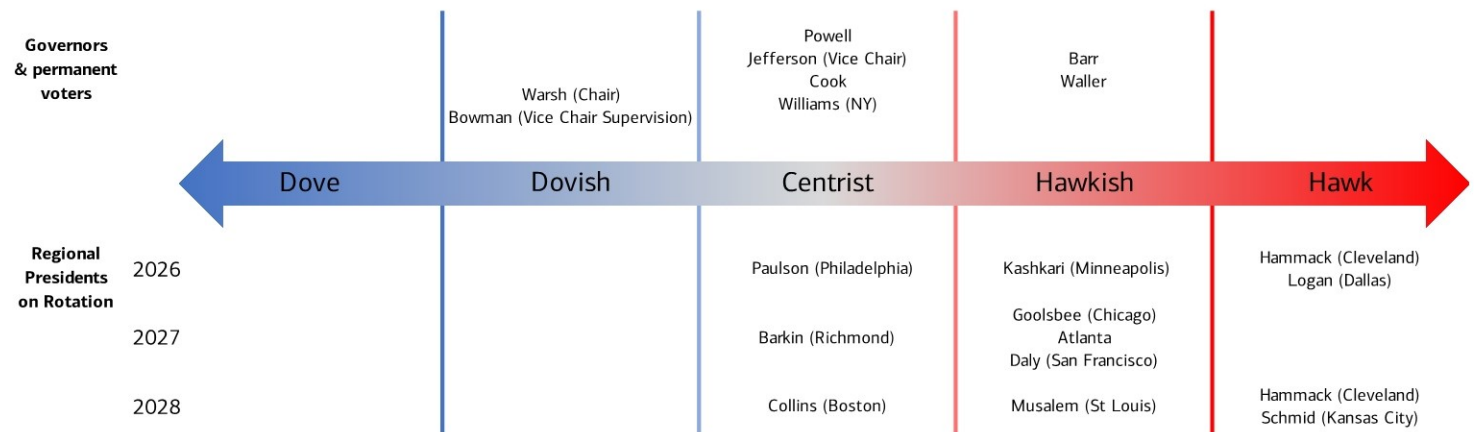
Speaker	Date	Quote
Barkin (Richmond)	13-Aug	"Much of today's elevated inflation level has come from shocks, which should pass." But he also said, "Inflation has been too high for too long, risking an upward shift in the price expectations of firms and consumers ... If true, this argument suggests help is needed to bring inflation all the way back down to target."
Hammack (Cleveland)	13-Aug	"I don't have confidence that we're going to see [inflation readings] low enough that it's going to bring us back down to that 2% number" She added, "I think we need to act now" to hike rates.
Collins (Boston)	11-Aug	Policy rates are "mildly restrictive" and "would have me expecting disinflation gradually to be sustained". She also said, "There's much to watch there, but inflation is too high."
Goolsbee (Chicago)	11-Aug	Inflation is "the biggest problem facing our economy right now." "The labor market is stable without being good."
Musalem (St. Louis)	6-Aug	"It is crucial that monetary policy put a meaningful restraint on underlying inflation, rather than tolerating somewhat higher inflation today to pursue productivity growth tomorrow."
Daly (San Francisco)	5-Aug	"I was completely supportive of the decision to hold rates in July." She said the Fed should "be vigilant to watch the information as it comes in, but be very prepared to take the action."
Cook (Governor)	5-Aug	"If I do not see signs of continued disinflation soon, I am prepared to act. With five years of above-target inflation, the risk grows that higher inflation may become entrenched in price- and wage-setting behavior, leading to persistence that would be much harder for us to attack."
Kashkari (Minneapolis)	5-Aug	He said the Fed should start to raise interest rates incrementally right now to curb inflation that remains too high.
Schmid (Kansas City)	4-Aug	"Given the strength of demand and investment, I do not see the current stance of monetary policy as restrictive. As such, I believe that bringing inflation down to the Fed's 2% objective will require tighter policy."
Paulson (Philadelphia)	4-Aug	"I see two plausible scenarios for how current policy is affecting inflation, and the incoming evidence will clarify which path we're on and what adjustments, if any, may be needed. I am keeping an open mind about where policy goes from here."
Williams (New York)	3-Aug	He expects inflation to come down in the second half of the year and lower further next year, saying "some of the big drivers that pushed up inflation... will not be at play as much."
Logan (Dallas)	31-Jul	"Without any policy restraint, inflation will likely continue to trend above target until there's an unanticipated shock. Modest action in the near term would reduce the likelihood of needing to take sharper action later."
FOMC Meeting	29-Jul	The FOMC voted 9-3 to hold the benchmark federal funds rate in a range of 3.5% to 3.75%. Chair Kevin Warsh said "let me reiterate: There is no soft inflation target. There is no soft implicit target, not on this committee's watch."
Schmid (Kansas City)	16-Jul	"My primary concern is inflation, which is too hot and has been above target for too long. As such, my focus remains on inflation in setting the correct course for policy."
Logan (Dallas)	16-Jul	"I currently believe modestly higher interest rates would better balance the outlook and risks" for the Fed's dual mandate of price stability and full employment.
Beige Book release	15-Jul	US economic activity increased at a slight to moderate pace in recent weeks as most regions experienced little to no change in employment levels. Prices increased moderately overall, with some contacts tying cost increases to the conflict in the Middle East and others mentioning tariffs, the report said.
Warsh (Chair)	15-Jul	He pushed back on commentary that surging investment into AI is stoking inflation, saying the boom won't necessarily lead to persistent price pressures.
Williams (New York)	15-Jul	He said interest rates are "well positioned" even as demand driven by AI puts upward pressure on inflation, adding that "I am confident that these investments will support strong productivity growth in coming years. But, right now, we're in a race between available supply and surging demand."
Bowman (Vice Chair for Supervision)	14-Jul	She said lenders are more in tune with the risks tied to innovation and should be allowed to decide when to adopt new technologies like artificial intelligence, adding that the Fed should "set clear expectations, be transparent, and not micromanage individual business decisions" tied to innovation.
Goolsbee (Chicago)	14-Jul	He said Tuesday's consumer price index report was "surprisingly benign," though policymakers will need more than one month of data to assess if inflation is trending back to the central bank's 2% goal.
Warsh (Chair)	14-Jul	He said "the members of our committee have no tolerance for persistently elevated inflation. And we share a resolute commitment to restoring price stability." He added "if we get policy right — and we will — the inflation surge of the last five years will be a thing of the past."
Waller (Governor)	13-Jul	"If we get another hot reading on core inflation this week, then the FOMC will need to consider tightening monetary policy in the near term."
Bowman (Vice Chair for Supervision)	13-Jul	She said the Financial Stability Board should encourage "flexibility" to ensure that oversight is appropriate for individual jurisdictions. She also said international regulators could benefit from following her approach, which includes tailoring regulation and prioritizing transparency and accountability in the supervision process.

Source: Bloomberg, BofA Global Research

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Exhibit 10: The Fed has taken an increasingly hawkish turn this year compared to recent years

BofA US Economics Dove-Hawk chart



Source: BofA Global Research

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Weekly spending update

Exhibit 15: Total card spending per HH accelerated to 6.2% y/y in the week ending August 8

Aggregated daily credit and debit card spending growth per HH by major category, Aug 1 - Aug 8 (y/y % change of the 7-day MA of spending levels)

	8/8	8/7	8/6	8/5	8/4	8/3	8/2	8/1
Total card spending	6.2%	5.2%	5.6%	5.6%	5.5%	5.5%	4.7%	4.7%
Total card ex gas	5.4%	4.4%	4.9%	4.8%	4.8%	4.8%	3.9%	3.9%
Retail ex-autos	5.6%	4.8%	5.0%	4.9%	4.9%	4.8%	4.8%	4.9%
Airlines	10.7%	10.4%	10.2%	10.1%	10.2%	10.6%	10.6%	10.1%
Lodging	3.5%	3.5%	3.4%	3.1%	3.4%	3.3%	2.7%	2.6%
Entertainment	14.9%	17.5%	20.5%	23.2%	23.7%	21.4%	17.9%	14.5%
Restaurants & bars	2.9%	3.5%	3.6%	3.5%	3.2%	3.0%	3.0%	3.4%
Transit	8.2%	10.4%	9.2%	9.6%	9.2%	8.8%	8.9%	8.8%
Gas	20.0%	19.9%	20.1%	20.0%	19.6%	19.1%	19.1%	19.1%
Clothing	2.7%	1.4%	1.9%	1.9%	2.4%	2.6%	2.8%	2.3%
Furniture	2.1%	0.4%	0.8%	0.6%	1.2%	0.9%	1.2%	0.4%
Department store	2.8%	1.0%	-0.1%	-0.9%	-1.1%	-1.7%	-1.7%	-1.5%
Home improvement	0.9%	0.2%	-0.1%	-0.1%	-0.2%	-0.6%	-0.1%	-0.2%
Electronics	21.8%	18.5%	18.7%	17.2%	16.8%	16.6%	16.3%	17.3%
Grocery	-0.6%	-1.5%	-1.2%	-1.1%	-1.1%	-1.0%	-1.4%	-1.3%
General Merchandise	6.9%	4.6%	3.5%	3.0%	3.0%	3.3%	3.8%	3.9%
Total B&M retail	2.7%	2.0%	2.3%	2.3%	2.3%	2.3%	2.3%	2.3%
Total online retail	12.2%	11.4%	11.3%	11.0%	10.7%	10.5%	10.4%	10.8%

Source: BAC internal data. Note: The 1-yr % change shows the change between the current date at the head of the table column and its comparable date a year ago. Total card spending includes total BAC card activity, which captures retail sales and services that are paid with cards. Does not include ACH payments. B&M (Brick & Mortar) retail means retail purchases at the store. Total online retail corresponds to purchases in which the card was not present. These are largely online purchases but could include purchases made over the phone. Gas includes some convenience store purchases at gas stations.

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See the report: [BofA on USA: Weekly spending update through Aug 8 13 August 2026](#) for methodology, limitations, and disclaimers related to BAC aggregated credit and debit card data.



Core views

Growth: Optimistic on near term growth outlook

- Despite some volatility, on net, the US-Iran deal leaves us more optimistic about growth in 2H 2026. We now expect growth to average around 2.5% in 2H vs. 1.8% in 1H 2026. The consumer remains resilient, supported by an uptick in hiring, positive wealth effects and healthy balance sheets. Meanwhile, investment continues to be driven by AI, which we see as insensitive to interest rates. For next year, we've lowered our forecast to 2.1% 4q/4q as higher interest rates should lead to less non-AI investment and spending over time.

Inflation: Stuck above the Fed's target despite near-term relief

- Headline PCE inflation peaked in 2Q. We expect it to fall quickly in coming months, as oil retraces. That said, we think core PCE inflation will remain above 3% y/y this year, before falling to 2.4% by year-end 2027, owing to sticky inflation in core services ex-housing. In our view, underlying inflation is closer to 2.5% than 2% and supply-shocks will remain sources of upside risks to inflation.

Labor market: A picture of stability

- Downside risks to the labor market have dissipated this year as hiring has picked up. The unemployment rate remains stable. The negative impact on jobs from AI remains limited for now, and AI investment is fueling hiring in goods-producing sectors. At the same time, tighter immigration policy continues to constrain labor supply. Our outlook on the labor market is sanguine. We expect the unemployment rate to end the year at 4.2%, and remain there in 2027.

Fed: Data and reaction function point to hikes in 2026

- The Fed has made a hawkish turn in the face of diminishing risks to the labor market and inflation that has moved further away from the 2% target. We expect the Fed to hike rates by 75bp this year (25bp each in Sep, Oct and Dec), reversing last year's insurance cuts. We think the Fed will leave rates unchanged in 2027 and 2028 at 4.25-4.50%. Our rates strategists have marked up their 2y and 10y Treasury yield forecasts in response to this change. Higher rates should help slow activity excluding AI and lower inflation over time.

Economic forecast summary

Exhibit 12: With trend like growth, fading labor market downside risks and inflation likely to remain sticky despite some near term relief, we expect the Fed to deliver three hikes in Sep, Oct and Dec 2026.

BofA US economic outlook

	1Q 25	2Q 25	3Q 25	4Q 25	1Q 26	2Q 26	3Q 26	4Q 26	1Q 27	2Q 27	3Q 27	4Q 27	2026	2027	2028
Real Economic Activity, % SAAR															
Real GDP	-0.6	3.8	4.4	0.5	2.1	1.5	2.5	2.4	2.2	2.2	2.1	2.0	2.1	2.2	1.9
% Change, Year Ago	2.0	2.1	2.3	2.0	2.7	2.1	1.6	2.1	2.1	2.3	2.2	2.1			
Final Sales	-3.2	7.3	4.5	0.3	1.9	2.2	2.4	2.2	2.1	2.1	2.0	1.9	2.4	2.1	1.8
Domestic Demand	1.4	2.4	2.9	0.6	2.2	3.1	2.5	2.4	2.1	2.1	1.9	1.9	2.2	2.2	1.7
Consumer Spending	0.6	2.5	3.5	1.9	0.5	3.2	2.5	2.4	2.1	2.1	2.0	1.9	2.1	2.2	1.9
Residential Investment	-1.0	-5.1	-7.1	-1.7	-7.8	1.5	-0.5	-1.0	-1.0	-1.5	-1.5	-1.5	-3.4	-1.0	-1.2
Nonresidential Investment	9.5	7.3	3.2	2.4	10.6	8.4	5.6	5.1	4.2	4.3	3.4	3.4	6.5	4.7	2.9
Structures	-3.1	-7.5	-5.0	-6.6	-4.7	-5.0	0.0	0.0	1.0	1.0	1.0	1.0	-4.5	0.3	0.7
Equipment	21.3	8.5	5.2	4.3	15.8	15.2	7.0	6.0	5.0	5.0	4.0	4.0	9.9	5.8	3.4
Intellectual Property	6.5	15.0	5.6	5.4	13.8	8.8	7.0	6.5	5.0	5.0	4.0	4.0	8.9	5.6	3.4
Government	-1.0	-0.1	2.2	-5.6	4.4	-0.8	0.4	0.4	0.7	0.7	0.7	0.7	0.2	0.5	0.7
Exports	0.2	-1.8	9.6	-3.2	10.9	4.5	2.0	2.0	2.0	2.0	2.0	1.5	4.3	2.1	1.6
Imports	38.0	-29.3	-4.4	-1.0	11.8	11.5	2.8	2.5	1.5	1.5	1.0	1.0	2.4	2.3	0.8
Net Exports (Bil 12\$)	-1381	-1058	-956	-969	-1002	-1075	-1088	-1098	-1098	-1099	-1095	-1094	-1065	-1097	-1084
Contribution to growth (ppts)	-4.7	4.8	1.6	-0.2	-0.4	-1.0	-0.2	-0.1	0.0	0.0	0.1	0.0	0.1	-0.1	0.1
Inventory Accumulation (Bil 12\$)	172.0	-18.3	-23.9	-15.6	-16.7	-50.8	-42.8	-34.8	-30.3	-24.8	-19.8	-16.8	-36.3	-22.9	0.7
Contribution to growth (ppts)	2.6	-3.4	-0.1	0.1	0.2	-0.7	0.1	0.1	0.1	0.1	0.1	0.0	-0.3	0.0	0.1
Nominal GDP (Bil \$, SAAR)	30042	30486	31098	31423	31866	32475	32931	33375	33835	34310	34773	35239	32662	34540	36427
% SAAR	2.9	6.0	8.3	4.2	5.8	8.0	5.7	5.5	5.6	5.7	5.5	5.5	6.2	5.7	5.5
Key Indicators															
Fed Funds Rate (midpoint, % EOP)	4.375	4.375	4.125	3.625	3.625	3.625	3.875	4.375	4.375	4.375	4.375	4.375	4.375	4.375	4.375
Industrial Production (% SAAR)	4.0	2.0	2.0	-2.0	1.0	4.0	0.5	1.0	1.0	1.5	1.5	1.5	1.2	1.3	1.3
Capacity Utilization (%)	76.0	76.0	76.0	75.5	75.5	76.0	76.0	76.5	76.5	76.5	76.5	77.0	76.0	76.7	77.3
Nonfarm Payrolls (Avg mom ch, 000s)	20	34	23	-39	73	77	60	65	60	60	45	65	69	58	60
Civilian Unemployment Rate (%)	4.1	4.2	4.3	4.5	4.3	4.3	4.2	4.2	4.2	4.2	4.2	4.2	4.2	4.2	4.2
Civilian Participation Rate (%)	62.5	62.4	62.3	62.4	62.0	61.7	61.5	61.5	61.5	61.5	61.4	61.4	61.7	61.4	61.4
Housing Starts (Thous. SAAR)	1395	1355	1345	1325	1420	1345	1455	1480	1490	1510	1540	1560	1425	1525	1590
Current Account (% of GDP)													-2.9	-2.9	-2.8
US Budget Balance (\$bn, Fiscal Year)													1935	2075	2250
US Budget Balance (% of GDP, Fiscal Year)													6.0	6.2	6.4
Inflation															
GDP Price Index (% SAAR)	3.6	2.1	3.8	3.7	3.6	6.2	3.2	3.1	3.4	3.5	3.3	3.5	3.9	3.5	3.5
% Change, Year Ago	2.6	2.5	3.0	3.3	3.3	4.3	4.2	4.0	4.0	3.3	3.3	3.4			
PCE Chain Prices (% SAAR)	3.4	2.1	2.8	2.9	4.6	5.1	2.0	1.9	2.4	2.0	2.1	2.2	3.5	2.3	2.2
% Change, Year Ago	2.6	2.4	2.7	2.8	3.1	3.8	3.7	3.4	2.8	2.1	2.1	2.2			
Core PCE Chain Prices (% SAAR)	3.3	2.6	2.9	2.7	4.4	3.4	2.7	2.4	2.7	2.4	2.3	2.2	3.2	2.5	2.2
% Change, Year Ago	2.8	2.7	2.9	2.9	3.1	3.3	3.3	3.2	2.8	2.5	2.5	2.4			
CPI, Consumer Prices (% SAAR)	3.7	1.7	3.1	2.5	3.6	6.1	0.6	1.6	2.1	1.8	2.1	2.5	3.2	2.0	2.3
% Change, Year Ago	2.7	2.5	2.9	2.7	2.7	3.8	3.2	2.9	2.1	1.9	1.9	2.2			
CPI ex Food & Energy (% SAAR)	3.4	2.2	3.2	2.0	2.8	2.9	1.9	2.3	2.6	2.6	2.6	2.5	2.5	2.5	2.5
% Change, Year Ago	3.1	2.8	3.1	2.7	2.5	2.7	2.4	2.5	2.4	2.5	2.5	2.6			

Source: BofA Global Research estimates. Note: *Since the BLS did not report a CPI estimate for Oct '25, we estimate the data using a linear interpolation of the Sep and Nov data. Since the BLS did not report Household Survey numbers for Oct '25 in the Jobs print, we use the Haver Analytics' linear interpolated numbers for the month.

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Rates and dollar forecasts

Exhibit 13: We expect the Fed to hike by 25bp each in Sep, Oct and Dec this year

Rates and dollar forecasts

	Spot	26-Sep	26-Dec	27-Mar	27-Jun	27-Sep	27-Dec
Interest rates							
Fed Funds	3.63	3.75-4.00	4.25-4.50	4.25-4.50	4.25-4.50	4.25-4.50	4.25-4.50
Fed Effective Rate	3.630	3.875	4.375	4.375	4.375	4.375	4.375
2-Year T-Note	4.14	4.50	4.50	4.40	4.35	4.35	4.25
5-Year T-Note	4.32	4.50	4.50	4.45	4.40	4.40	4.30
10-Year T-Note	4.64	4.50	4.50	4.50	4.50	4.50	4.50
30-Year T-Bond	5.21	4.90	5.00	5.00	5.00	5.00	5.00
Dollar							
EUR-USD	1.15	1.12	1.15	1.16	1.18	1.19	1.20
USD-JPY	159.48	153.00	149.00	149.00	148.00	146.00	145.00
USD-CAD	1.39	1.44	1.43	1.42	1.40	1.38	1.38
AUD-USD	0.71	0.70	0.71	0.72	0.72	0.73	0.73
NZD-USD	0.59	0.58	0.59	0.61	0.61	0.62	0.62
GBP-USD	1.35	1.32	1.37	1.38	1.40	1.43	1.45
USD-CHF	0.81	0.82	0.81	0.81	0.80	0.80	0.79
USD-SEK	9.56	10.00	9.57	9.31	8.98	8.82	8.67
USD-NOK	9.51	10.18	10.00	9.74	9.49	9.24	9.08
USD-CNY	6.74	6.80	6.70	6.70	6.70	6.60	6.60
USD-MXN	17.03	17.25	17.50	17.75	18.00	18.25	18.50

Source: BoFA Global Research, Bloomberg

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Rolling calendar of business indicators

Next week the focus will be on CPI and retail sales

Key economic data over the next three weeks

August 17 8:30 am: Empire Manufacturing – Aug	August 18 8:30 am: Import Price Index – Jul 8:30 am: Housing Starts & Permits – Jul 9:15 am: Industrial Production – Jul 10:00am: Pending Home Sales–Jul	August 19 7:00am: MBA Mortgage- week ending 08/14/2026 2:00pm: FOMC Minutes	August 20 8:30 am: Philly Fed – Aug 8:30am : Initial Jobless Claims – week ending 08/15/2026	August 21 9:45 am: S&P Global US Manufacturing and Services PMI – Aug (P)
August 24	August 25 9:00 am: S&P CoreLogic CS HPI – Jun 10:00 am: Conference Board Confidence – Aug 10:00am New Home Sales-- July	August 26 7:00am: MBA Mortgage- week ending 08/21/2026 8:30 am: Durable Goods Orders – Jul(P) 8:30 am: GDP - 2Q (S) 8:30 am: Personal Income & Outlays – Jul	August 27 8:30 am: Advance Goods Trade Balance – Jul 8:30am: Wholesale Inventories–Jul (P) 8:30am : Initial Jobless Claims – week ending 08/22/2026	August 28 9:45 am: Chicago PMI – Aug 10:00 am: U of Mich Sentiment– Aug (F)
August 31	September 1 9:45 am: S&P Global US Manufacturing PMI – Aug F 10:00 am: ISM manufacturing – Aug 10:00 am: JOLTS – Jul 10:00 am: Construction Spending – Jul All Day: Vehicle Sales – Aug	September 2 8:15 am: ADP Employment – Aug 8:30 am: Durable Goods Orders – Jul (F) 2:00 pm: Fed's Beige Book	September 3 8:30am : Initial Jobless Claims – week ending 08/29/2026 8:30 am: Trade Balance – Jul 8:30 am: Productivity & Costs - 2Q (F) 9:45 am: S&P Global US Services PMI – Aug F 10:00 am: ISM services– Aug	September 4 8:30 am: Employment Report – Aug

*Projections- subject to revision as additional data become available. P - preliminary reading, S - second reading, T - third reading, F - final reading

Source: Bloomberg

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CPI and PCE Forecast tables

Exhibit 18: We expect inflation to remain above the Fed's target throughout our forecast horizon*

CPI monthly forecast table

	Non-seasonally Adjusted						Seasonally Adjusted									
	Headline CPI			Energy			Headline CPI					Core CPI				
	Level	m/m	y/y	Level	m/m	y/y	Level	m/m	y/y	q/q saar	y/y (quarterly)	Level	m/m	y/y	q/q saar	y/y (quarterly)
2025: Jul	323.0	0.15	2.70	283.4	-0.32	-1.55	322.2	0.23	2.74			328.7	0.31	3.05		
2025: Aug	324.0	0.29	2.92	283.2	-0.05	0.22	323.3	0.35	2.94			329.7	0.31	3.11		
2025: Sep	324.8	0.25	3.01	283.6	0.12	2.85	324.2	0.30	3.02	3.09	2.90	330.4	0.22	3.02	3.21	3.06
2025: Oct	324.5	-0.10	2.79	281.6	-0.71	3.22	324.7	0.13	2.86			330.7	0.09	2.80		
2025: Nov	324.1	-0.10	2.74	279.6	-0.71	4.24	325.1	0.13	2.70			331.0	0.09	2.60		
2025: Dec	324.1	-0.03	2.68	274.1	-1.95	2.30	326.0	0.30	2.65	2.52	2.74	331.8	0.23	2.65	1.95	2.68
2026: Jan	325.3	0.36	2.39	272.7	-0.53	-0.14	326.6	0.17	2.39			332.8	0.30	2.51		
2026: Feb	326.8	0.48	2.41	277.2	1.65	0.48	327.5	0.27	2.43			333.5	0.22	2.47		
2026: Mar	330.2	1.14	3.26	310.3	11.94	12.53	330.3	0.87	3.29	3.57	2.70	334.2	0.20	2.60	2.80	2.53
2026: Apr	333.0	0.86	3.81	329.9	6.33	17.87	332.4	0.64	3.78			335.4	0.38	2.74		
2026: May	335.1	0.62	4.25	346.0	4.89	23.54	334.0	0.47	4.17			336.1	0.21	2.82		
2026: Jun	334.0	-0.32	3.53	329.0	-4.94	15.70	332.6	-0.42	3.46	6.07	3.80	336.1	-0.02	2.57	2.88	2.71
2026: Jul	333.9	-0.01	3.36	325.2	-1.16	14.73	332.8	0.07	3.30			336.8	0.22	2.47		
2026: Aug	334.4	0.15	3.23	323.5	-0.51	14.21	333.6	0.22	3.18			337.5	0.21	2.37		
2026: Sep	334.7	0.07	3.04	318.3	-1.60	12.25	334.1	0.16	3.03	0.60	3.17	338.1	0.19	2.34	1.93	2.39
2026: Oct	334.3	-0.12	3.02	310.2	-2.57	10.15	334.3	0.08	2.98			338.8	0.19	2.43		
2026: Nov	333.5	-0.22	2.90	301.6	-2.76	7.88	334.6	0.09	2.94			339.4	0.19	2.52		
2026: Dec	333.2	-0.11	2.81	296.2	-1.79	8.06	335.4	0.21	2.86	1.56	2.93	340.0	0.19	2.48	2.29	2.48
2027: Jan	334.6	0.42	2.86	298.0	0.60	9.29	336.0	0.19	2.88			340.8	0.23	2.41		
2027: Feb	335.7	0.35	2.73	297.5	-0.17	7.33	336.4	0.13	2.74			341.59	0.23	2.42		
2027: Mar	337.1	0.43	2.10	301.4	1.32	-2.86	337.2	0.22	2.09	2.13	2.57	342.33	0.22	2.44	2.59	2.42
2027: Apr	338.0	0.24	1.49	302.3	0.29	-8.37	337.4	0.06	1.50			343.06	0.21	2.28		
2027: May	338.9	0.29	1.14	303.3	0.33	-12.35	337.9	0.16	1.18			343.79	0.21	2.28		
2027: Jun	340.1	0.35	1.85	308.8	1.81	-6.13	338.8	0.26	1.87	1.78	1.52	344.52	0.21	2.52	2.62	2.36

Source: BEA, BofA Global Research estimates *Since the BLS did not report a CPI estimate for October 2025, we estimate the data using a linear interpolation of the September and November data.

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Exhibit 19: We expect inflation to stay above the Fed's target throughout our forecast horizon

PCE inflation monthly forecast table (Seasonally adjusted)

	%y/y				% m/m			
	Headline	Core	Core goods	Core services	Headline	Core	Core goods	Core services
2025: Jul	2.6%	2.9%	1.1%	3.5%	0.17%	0.25%	0.00%	0.32%
2025: Aug	2.7%	2.9%	1.1%	3.5%	0.26%	0.22%	-0.11%	0.33%
2025: Sep	2.8%	2.8%	1.2%	3.4%	0.26%	0.19%	0.18%	0.19%
2025: Oct	2.7%	2.8%	1.1%	3.3%	0.19%	0.23%	0.00%	0.30%
2025: Nov	2.8%	2.8%	1.2%	3.3%	0.22%	0.18%	-0.02%	0.24%
2025: Dec	2.9%	3.0%	2.0%	3.3%	0.33%	0.33%	0.43%	0.29%
2026: Jan	2.9%	3.1%	1.9%	3.5%	0.35%	0.44%	0.30%	0.49%
2026: Feb	2.9%	3.0%	2.3%	3.3%	0.40%	0.39%	0.84%	0.25%
2026: Mar	3.5%	3.3%	2.8%	3.4%	0.67%	0.30%	0.21%	0.32%
2026: Apr	3.8%	3.3%	2.8%	3.5%	0.41%	0.25%	0.30%	0.23%
2026: May	4.1%	3.4%	2.4%	3.7%	0.46%	0.33%	-0.10%	0.47%
2026: Jun	3.6%	3.3%	2.1%	3.7%	-0.11%	0.13%	0.09%	0.15%
2026: Jul	3.7%	3.3%	2.3%	3.6%	0.14%	0.22%	0.13%	0.25%
2026: Aug	3.6%	3.3%	2.4%	3.5%	0.23%	0.22%	0.05%	0.28%
2026: Sep	3.6%	3.3%	2.3%	3.6%	0.19%	0.21%	0.05%	0.26%
2026: Oct	3.5%	3.2%	2.4%	3.5%	0.14%	0.19%	0.06%	0.24%
2026: Nov	3.4%	3.3%	2.5%	3.5%	0.14%	0.19%	0.06%	0.24%
2026: Dec	3.3%	3.1%	2.1%	3.5%	0.21%	0.19%	0.06%	0.24%
2027: Jan	3.1%	2.9%	1.9%	3.2%	0.22%	0.23%	0.10%	0.28%
2027: Feb	2.9%	2.7%	1.1%	3.3%	0.18%	0.23%	0.10%	0.28%
2027: Mar	2.5%	2.7%	1.0%	3.2%	0.22%	0.22%	0.05%	0.28%
2027: Apr	2.2%	2.6%	0.6%	3.2%	0.11%	0.19%	0.00%	0.25%
2027: May	1.9%	2.5%	0.7%	3.0%	0.16%	0.19%	0.00%	0.25%
2027: Jun	2.2%	2.5%	0.7%	3.1%	0.22%	0.19%	0.00%	0.25%
2027: Jul	2.2%	2.5%	0.5%	3.1%	0.12%	0.19%	0.00%	0.25%

Source: BEA, BofA Global Research estimates

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Federal Reserve Balance Sheet

Exhibit 16: The Fed has grown its balance sheet in the last four weeks but recently announced plans to end Reserve Management Purchases

The balance sheet of the Federal Reserve (\$bn, Wednesday, end of period values)

	12 Aug	7-day chg	4 week chg	Chg since June 1, 2022
Supplying reserve funds (Federal Reserve assets)				
Reserve Bank credit outstanding	6712.9	11.5	16.8	-2165.7
Securities held outright	6471.5	8.3	10.9	-2009.1
Securities bought outright	4538.3	8.3	28.3	-1232.5
Federal Agency	2.3	0.0	0.0	0.0
Mortgage-backed securities	1930.9	0.0	-17.5	-776.6
Mortgage-backed securities	211.9	-0.3	-1.7	-125.2
Unamortized discounts on securities held outright	211.9	-0.3	-1.7	-125.2
Repurchase agreements	0.0	0.0	-0.1	0.0
Foreign official (FIMA repo facility)	0.0	0.0	0.0	0.0
Others	0.0	0.0	-0.1	0.0
Loans	5.7	0.4	0.9	-15.0
of which:				
Discount window (primary and secondary credit)	5.6	0.4	0.9	4.8
Paycheck protection program (PPPLF)	0.0	0.0	0.0	-19.8
Bank Term Funding Program (BTFP)	0.0	0.0	0.0	0.0
Other credit extensions	0.0	0.0	0.0	0.0
Other factors supplying reserve funds	-188.1	3.4	8.5	108.7
Total factors supplying reserve funds	6811.6	11.4	17.1	-2152.7
Absorbing reserve funds (Federal Reserve liabilities)				
Currency in circulation	2475.6	0.7	3.7	195.6
Reverse repo agreements	358.1	38.7	4.0	-1872.4
Foreign official accounts	357.4	39.7	3.5	91.9
Others (ON RRP)	0.7	-0.9	0.6	-1964.3
Treasury cash holdings	0.3	0.0	0.0	0.2
Other deposits with Federal Reserve Banks	1208.0	29.3	160.7	179.6
of which:				
Treasury General Account	959.4	30.1	163.4	178.8
Treasury contributions to credit facilities	0.0	0.0	0.0	-17.9
Other Federal Reserve liabilities and capital	-178.0	-2.2	1.4	-228.0
Factors absorbing reserves, other than reserves	3864.0	66.5	169.9	-1743.0
Reserve balances with Federal Reserve banks	2947.6	-55.1	-152.8	-409.8

Source: Federal Reserve, Haver Analytics, BofA Global Research. Note: Quantitative tightening began on June 1, 2022.

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